Efficient and Equitable Taxation: In-Class Questions

EC313 Public Economics: Taxation, Fall 2026

These questions are written in the style of the short-answer section of the midterm, where each part is worth 5 marks. We work through the answers in class, so solutions are not posted.

Question 1

Suppose estimates show that raising an extra dollar of revenue costs a province $1.50 of excess burden through its corporate income tax, but only $0.30 through its sales tax.

a) Is the province's tax mix efficient? Propose a reform that raises the same revenue, and explain why it lowers the total excess burden.

b) Give one reason, other than efficiency, why the government might resist your reform.

Question 2

On average, taller people earn more. A newspaper columnist proposes taxing people on their height instead of their income.

a) From the standpoint of efficiency, what is attractive about this tax?

b) Give two objections to it.